

BridgeCity's \$72M LIC Loan Shows Construction Debt Is Back, but Only for the Right Basis

A \$28M land basis and a proven submarket let a private lender finance a 161-unit build-to-rent project.

The most important number in Elford Management's \$72.3 million construction loan is not the loan amount. It is the \$28 million land basis. BridgeCity Capital is not betting on Long Island City generally. It is betting on a developer who bought the dirt at a price that leaves room for a 16-story, 161-unit apartment building to pencil even if rents soften or construction costs drift higher.

That basis discipline is the hidden signal in this transaction. Construction debt has not returned broadly. It has returned selectively, and only where the arithmetic works without heroic assumptions. This deal fits that pattern. Elmord Management acquired the 44-68 Vernon Boulevard site for \$28 million from an undisclosed seller. The property currently holds a 1953 warehouse structure. The developer plans a 142,697-square-foot building with commercial space.

BridgeCity Capital, a Brooklyn-based private lender, originated the full acquisition and construction facility. The land basis works out to roughly \$174,000 per unit before hard and soft costs. In Hunters Point, where new-construction rents for Class A product have stabilized in the \$70-to-\$85-per-square-foot range, that basis gives the developer a meaningful cushion. It also gives the lender a loan-to-cost ratio that does not require rent growth to break even.

Private credit is filling the gap that banks have largely abandoned in construction lending. Regional banks, still nursing commercial real estate exposure and facing regulatory scrutiny, have pulled back from ground-up risk. BridgeCity is stepping in where the sponsor has equity, the basis is defensible, and the submarket has absorption history. Long Island City has that history. The neighborhood absorbed Amazon's 2019 withdrawal without a price collapse.

It has since added thousands of units and maintained occupancy above 95 percent in the core rental stock. The 44-68 Vernon site sits steps from the former Amazon HQ2 site, a reminder that the market absorbed a major demand shock and kept leasing. That resilience matters to lenders underwriting construction loans in 2026.

A project that would have been financed by a regional bank in 2021 now requires a private lender willing to hold the risk at a higher spread. BridgeCity is not disclosing the loan's interest rate, but the structure likely reflects the current cost of construction debt: SOFR plus 500 to 600 basis points, with a short initial term and extension options tied to leasing milestones. The developer benefits from speed and certainty.

Private lenders can underwrite and close faster than banks, a real advantage when construction costs and interest rates are still moving. Elmord Management gets its capital stack in place before the next rate decision or material price increase. The lender benefits from a narrow, high-conviction bet. BridgeCity is not making a macro call on New York City development. It is making a micro call on one sponsor, one site, and one basis.

That is how construction debt is being written in 2026: deal by deal, not portfolio by portfolio. Who is exposed? The developer carries the execution risk. Construction delays, cost overruns, or a leasing slowdown would compress the margin that the land basis provides. The lender carries the exit risk.

If the project does not lease up fast enough to refinance into permanent debt before the construction loan matures, BridgeCity faces an extension or a workout. But the structure is designed to limit that exposure. A \$28 million land basis on a \$72 million loan implies meaningful sponsor equity. The developer has skin in the game.

That alignment is what makes the deal financeable in a market where construction debt is still expensive and scarce. The broader market should watch two things. First, whether private lenders continue to write construction loans at this pace or pull back as rate uncertainty persists. Second, whether the banks return to construction lending once their existing CRE exposure rolls off and regulatory clarity improves. For now, the message is clear.

Construction debt is available, but only for sponsors who bought the land at a price that does not require the market to save them. BridgeCity's loan is not a signal that development financing is back. It is a signal that disciplined underwriting can still get a deal done.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co